

LECTURE NO 3

HS-403: Management and Entrepreneurship

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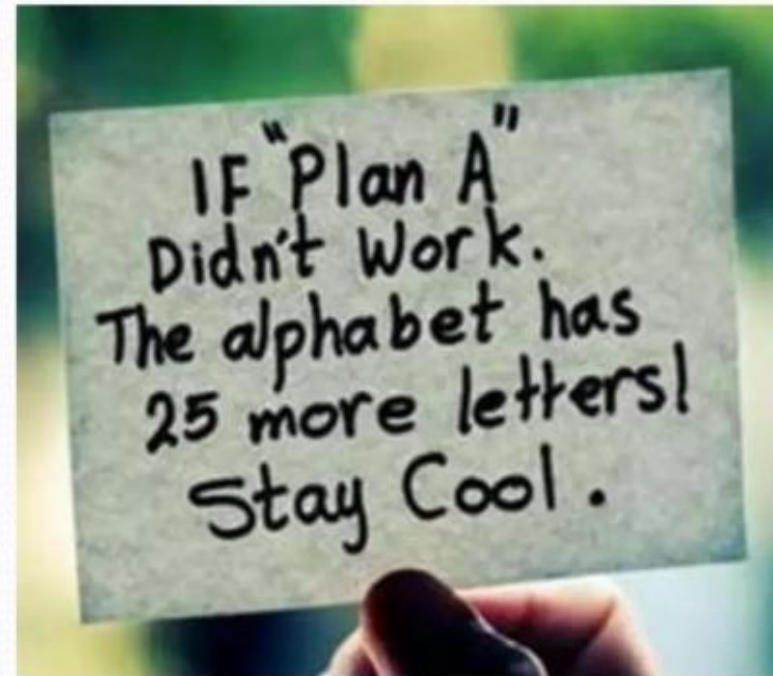
PLANNING

Organization of Lecture

1. Introduction.
2. Nature/Features/Characteristics of Planning.
3. Importance and Purpose of Planning.
4. Steps in Planning.
5. Planning Premises.
6. Types of Plans.
7. Decision Making.

1. Introduction [1/2]

- **Planning** (also called **forethought**) is the process of thinking about and organizing the activities required to achieve a desired goal.



1. Introduction [2/2]

- “If you don’t have daily objectives, you qualify as a dreamer.” –*Zig Ziglar*.
- “Planning is deciding in advance what is to be done. It involves the selection of objectives, policies, procedures and programs from alternatives” – *ME Harley*.
- “If you don’t know where you are going, how can you expect to get there?”-*Basil S. Walsh*.

2. Nature/Features/Characteristics of Planning [1/3]

- **Planning is goal oriented**
 - Plans are made in order to seek certain predetermined goals.
- **Planning is a primary function**
 - Planning provides the basic foundation from which all future management functions arise.
- **Planning is all-pervasive**
 - Planning is an on-going activity at all levels of an organizational hierarchy, right from CEO to first line managers.

2. Nature/Features/Characteristics of Planning [2/3]

- **Planning is a continuous process**
 - Planning involves continuous assessment and reassessment of the resources, directions, opportunities and problems of the organization while converting them to achieve goals.
- **Planning involves choice**
 - Planning always involves choices among various alternatives.
 - If there is only one way of doing something, there is no need for planning, planning arises only when there are alternatives available.

2. Nature/Features/Characteristics of Planning [3/3]

- **Planning is an integrated process**
 - Plans are structured in a logical way such that every lower level plan serves as a means to accomplish higher level plans. Plans are interrelated, mutually dependent and mutually supportive.
- **Planning is futuristic**
 - Planning attempts to peep into the future, analyses it and prepare for it.

3. Importance and Purpose of Planning [1/3]

- **Planning provides direction**
 - Planning provides clear sense of direction and purpose of activities of an organization.
- **Planning minimizes risk and uncertainty**
 - In fast changing organizations, planning based on hard facts and data help managers to reduce risk and uncertainties.
- **Planning ensures coordination**
 - Planning helps to establish coordinated efforts from various divisions, departments and people.

3. Importance and Purpose of Planning [2/3]

- **Planning leads to economy**
 - Planning helps accomplish an optimal utilization of physical and human resources, leading towards cost reduction, higher efficiency and productivity which leads to better economy.
- **Planning facilitates decision-making**
 - Planning helps in providing guidelines and thus facilitate decision-making.
- **Planning reduces overlapping and wastage of efforts**
 - Planning avoids duplication of efforts, and overlapping of tasks and responsibilities, reducing wastage.

3. Importance and Purpose of Planning [3/3]

- **Planning facilitates control**
 - Control is key to success of any organization, and in order to control there has to be a plan.

4. Steps in Planning [1/4]

Step1: To establish objectives which are verifiable.

Step2: To establish planning premises.

Step3: To determine alternative course of action.

Step4: To evaluate the alternatives and select the best.

Step5: To formulate derivative plans.

Step6: To secure cooperation and participation of all employees.

Step7: To measure and control the progress through follow-up.

4. Steps in Planning [2/4]

Step1: To establish objectives which are verifiable

- Identify goals of the organization.
- Internal and external environment of the organization has to be studied.

Step2: To establish planning premises

- Planning premises are assumptions of future market conditions which become the basis for current planning process.
- Planning premises usually relate to cost and availability of raw materials, labor, power, product demands, population trends, technology growth, government Policies etc.

4. Steps in Planning [3/4]

Step3: To determine alternative course of action

- Identify goals of the organization.
- Search and list all possible alternatives in order to be compared and analytically evaluated.

Step4: To evaluate the alternatives and select the best

- Select most suitable and best course of action.
- Evaluation and selection is often done with the help of quantitative techniques and operations research.

Step5: To formulate derivative plans

- Management has to formulate derivative plans or secondary plans to support the basic plan.
- Derivative plans are sub plans or departmental plans.

4. Steps in Planning [4/4]

Step6: To secure cooperation and participation of all employees

- Involving employees in planning process enhances their cooperation and participation.
- Continuous suggestions, complaints and criticisms must be solicited from the employees.

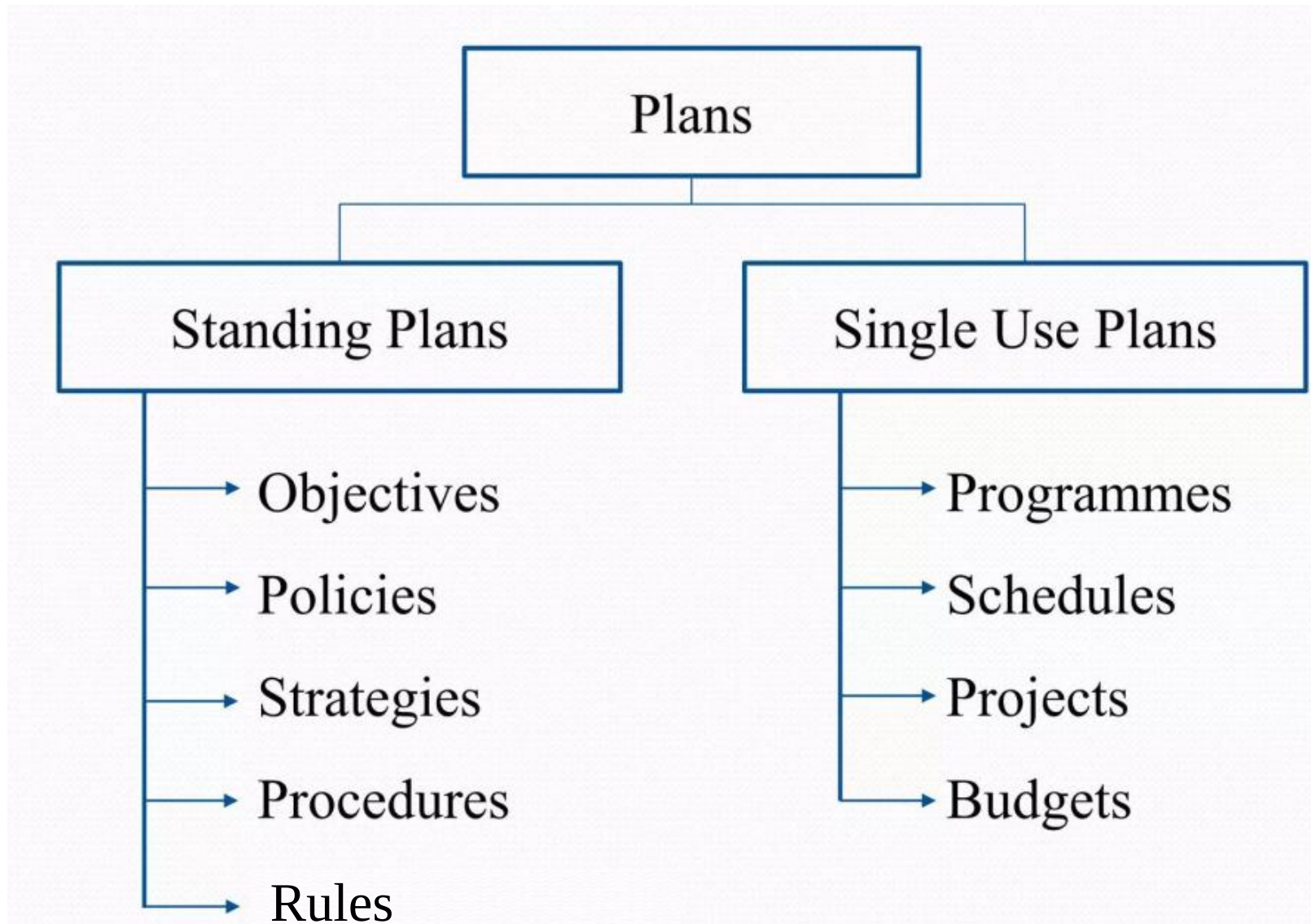
Step7: To measure and control the progress through follow-up

- Continuous evaluation of plans help in identifying recurring mistakes and avoiding them in future.

5. Planning Premises

- Planning premises are assumptions of future market conditions which become the basis for current planning process.
- Planning premises have to be established even before planning.
- To establish planning premises means to forecast future business conditions under which a plan has to operate.
- Planning premises provide solid foundation upon which the plans are based.

6. Types of Plans [1/8]



6. Types of Plans [2/8]

STANDING PLANS

Objectives

- Objectives, goals, aims, purposes, missions are the terms with same meaning.
- Objectives or goals are the desirable end results planned by the management or administration and expected to be achieved by the organization.

Policies

- Policies are guidelines setup by the company for managerial decision making. For Example,
 - ❖ Policy of recruiting only MBA's from top 10 institutes.
 - ❖ Policy of promotion of in-house employees.

6. Types of Plans [3/8]

Strategies

- Strategies specify the route taken to achieve company objectives and policies.
- Strategy involves innovation and creativity. For Example;
 - ❖ Strategy to make the best use of media coverage.
 - ❖ Strategy to convince the lecturer that he should let you free in the class! etc.

6. Types of Plans [4/8]

Procedures

- Procedures are action guidelines which specify how particular activity has to take place.
- Procedures provide chronological step-by-step sequence of required actions in order to achieve a certain goal or policy. For Example;
 - ❖ Procedure for recruitment of employees.
 - ❖ Procedure for processing customer complaints.

6. Types of Plans [5/8]

Rules

- Rules are standard guidelines which specify what is good and what is bad for an employee/organization.
- Rules if violated are viewed seriously and penalties are imposed. For Example;
 - ❖ Rule of 'No Smoking'.
 - ❖ Rule of not using cell phones in academic premises.

6. Types of Plans [6/8]

SINGLE USE PLANS

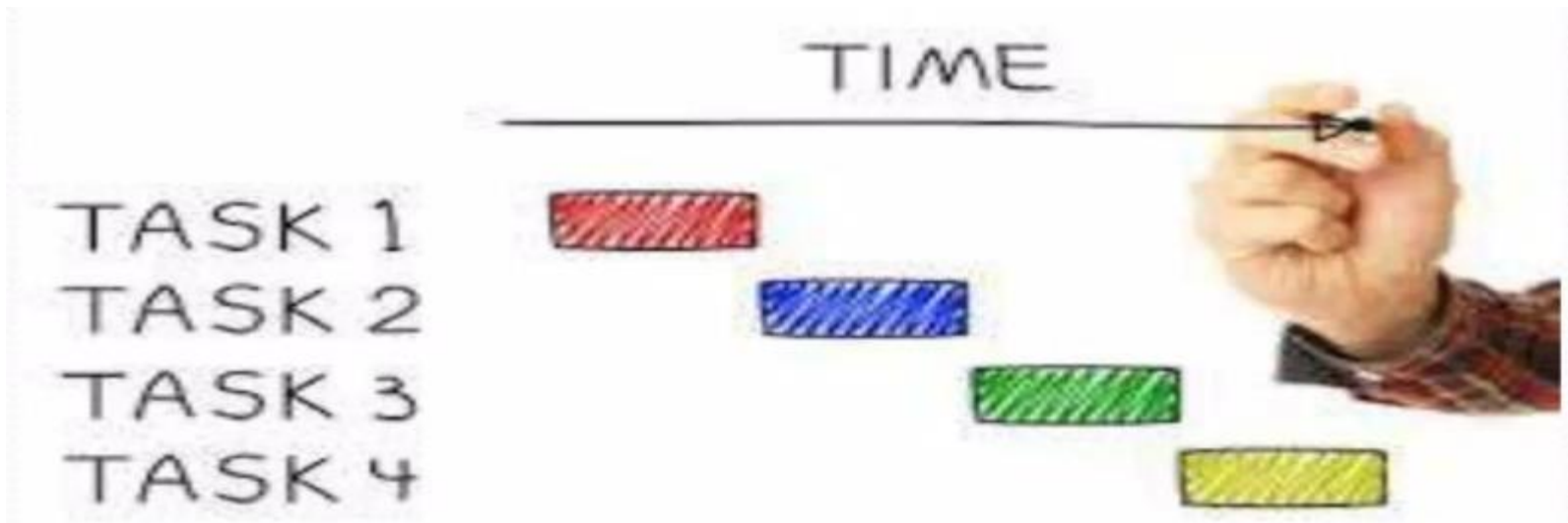
Programmes

- Program is aggregate of several related action plans that have been designed to accomplish a mission with in specified **time**.
- A program is a comprehensive plan that includes a complex set of goals, procedures, methods, strategies etc. For Example;
 - ❖ Program of organizing an international seminar.

6. Types of Plans [7/8]

Schedules

- Schedules are time tables which clearly specify when, what and where each element of work is carried out.



6. Types of Plans [8/8]

Projects

- Project is small program. Several projects may also make up a program. For Example;
 - ❖ A software project part of a larger program.

Budgets

- A budget is a written plan of future activities of the company in monetary terms.
- Budget defines the anticipated cost of attaining an objective. For Example;
 - ❖ Sales Budget, Production Budget etc.

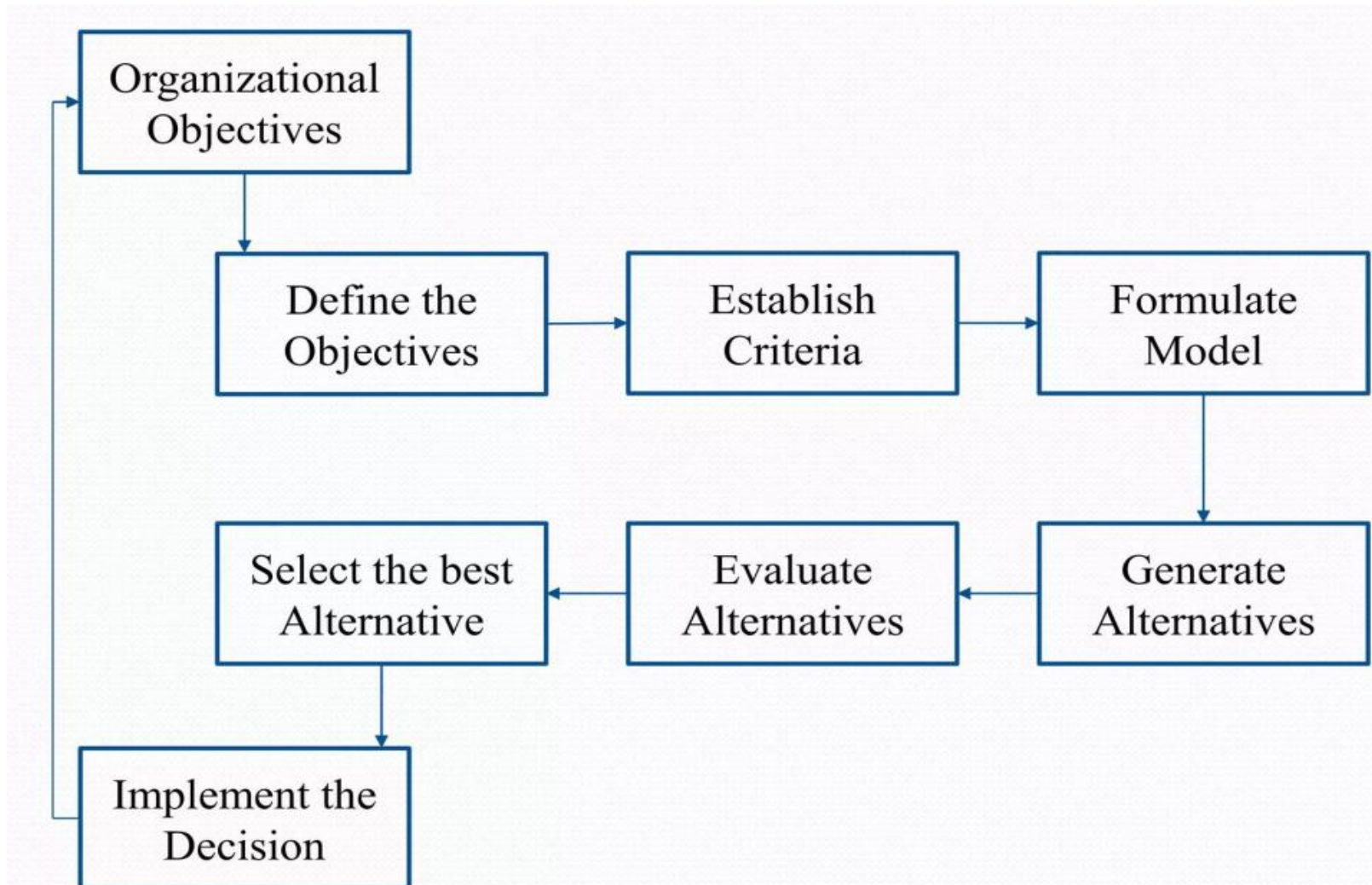
7. Decision Making [1/4]

- Decision making is the cognitive/analytical process leading to the selection of a course of action among alternatives.
- Every decision making process produces a final choice. It can be an action or an opinion.



7. Decision Making [2/4]

Decision Making Process



7. Decision Making [3/4]

- To define the problem and parameters influencing it.
- To establish criteria for decision making.
- To formulate a model considering all decision variables.
 - ❖ *Physical model* – architect side a of a building.
 - ❖ *Computer Model* – CAD model of cars and machines.
 - ❖ *Mathematical Models* – Forecasting model, simplex model, transportation model etc.
 - ❖ *Verbal Models* – Words and description.
- To generate alternative solutions by varying parameters.
 - ❖ By varying the values of the parameters several alternatives can be framed.

7. Decision Making [4/4]

- Evaluate all alternatives – Selecting the course of action that best satisfies the criteria.
- Select the best alternatives.
- Implement the decision and monitor the result.

References

- ❑ Management by Margret Tien, Kathryn Bartol, Graham Mathews, David Martin.
- ❑ Management by Robbin & Cotter.